

MATRIX						
Investment Only	DSCR must be ≥ 1.00					
	Min FICO	Max Loan Amount		Max LTV		
				Purchase	R & T	Cash-Out
	700	\$1,500,000		75	70	65
		\$2,000,000		70	65	65
	State of IL	Min. FICO	720	70	65	65
General Requirements						
Index	30-day average SOFR					
Margin / Floor	6.500 %					
CAPS	- 5/6 ARM & 5/6 ARM I/O: 2/1/5 - 7/6 ARM & 7/6 ARM I/O: 5/1/5					
Loan Amount	Min. Loan Amount	\$ 400k	Max. Loan Amount	\$ 2.0 mil.	Max Cash-Back	\$ 1.0 mil.
Property Types	- Residential 5 – 8 Units - Mixed use 2 – 8 Units (Residential with Retail/Office/Restaurant) - 2-3 Units: Max 1 commercial Unit - 4-5 Units: Max 2 commercial Units - 6-8 Units: Max 3 commercial Units - Commercial space must not exceed 49.99% of the total building area					
Acreage	Property up to 2-acres, not meeting the rural definition, eligible					
Unleased Units	Maximum: 1 vacant unit on 2-3 Unit property. 2 vacancies on 4+ Units.					
Eligible Borrowers	- U.S. citizens - Permanent resident aliens - Non-Permanent resident aliens					
Non-Arm's Length Transaction	Not Allowed					
Document Age	- Underwriting and borrower credit documents may not be more than 90 days seasoned at the Note date. - The Appraisal must be dated within 120 days of the Note date. An Appraisal exceeding 120 days is not eligible and a new appraisal is required.					
Credit Score	- Min. 700 FICO - Middle of 3 scores or lower of 2					
Housing History	- Min. 700 FICO - Middle of 3 scores or lower of 2					
Housing History	0x30x12					
Tradeline Requirement	- Min: 2 reporting 24-months w/activity in last 12- months or 3 reporting 12-months w/recent activity - For each borrower who has three (3) credit scores, the minimum tradeline requirement is waived (all borrowers must be evaluated individually). - Non-traditional tradelines: ineligible					
Credit Event	Bankruptcy, Foreclosure, Short Sale, Deed-In-Lieu, Loan Modification			≥ 36 months: No reduction		

General Requirements	
Charge offs, Collections	- Delinquent credit, such as charge-offs of non-mortgage accounts and collections, have the potential to affect loan position or diminish borrower equity. - Individual collection and non-mortgage charge-off accounts equal to or greater than \$250, and accounts that total more than \$2,000, must be paid in full prior to or at closing. - Medical collections may remain open with a max cumulative balance of \$10,000. - A second mortgage or junior lien that has been charged off is subject to foreclosure seasoning periods for grade determination, based on the charge-off date. - Collections and charge-offs that have expired under the state statute of limitations on debts may be excluded. Evidence of expiration must be documented. - Charge-offs and collections not excluded by the above bullet points must be paid or may stay open if using one or a combination of both of the following: - Payments for open charge-offs or collections are included in the DTI (subject to program DTI restrictions). If a payment amount is not known, 5% of the balance may be used as the payment. - Reserves are sufficient to cover the balance of the charge-offs or collections and meet reserve requirements.
Judgments, Tax Liens	All open judgments, garnishments, and all outstanding liens must be paid off prior to or at loan closing
Disputed Accounts	Disputed accounts are reviewed to determine current balance and derogatory information (a 30-day or more delinquency) within 1 year prior to the credit report date: - \$0 balance and no derogatory information: no action required - \$0 balance and derogatory information: no action required - A positive balance and no derogatory information: no action required - A positive balance and derogatory information: no action required
Credit Inquiries	Recent inquiries within 90 days of the credit report date must be explained by the borrower
Debt Service Coverage Ratio (DSCR)	- Minimum DSCR ≥ 1.00 - DSCR = Eligible monthly rents/PITIA (Loans with an interest only feature may use the ITIA payment). - Loan amounts $\geq \\$2,000,000$ require DSCR ≥ 1.00 and Debt Yield of 9% or greater (Net operating income/Loan amount = 9% or greater)
Employment / Income	- Leased - Use lower of Estimated market rent or lease agreement. - Vacant Unit(s) – Use 75% of market rents. - Max: 1 vacant unit on 2-3 Unit property; 2 vacancies on 4+ Units. - Vacant residential units must be actively marketed for rent. Provide screenshot of listing or other documentation. - Vacant commercial space not allowed.Reduce qualifying rents by any management fee reflected on appraisal report. - Income from commercial space must not exceed 49.99% of the total property income. - Short-term rental use/income not eligible. - Neither the Borrower(s) nor the borrower’s immediate family shall at any time occupy the property.
Property Rental Income	- Leased property: DSCR is based upon the contracted monthly rent amount from the lease - A property is considered Leased” when there is an executed long term (Min 12-months) lease agreement between the lessor and lessee. - Most recent two months of rent payment per lease agreement is required.

General Requirements	
Property Rental Income	- Unleased and vacant property: DSCR is based upon the estimate of the monthly rent of the subject. The final reconciliation of Market Rent must be based on a 12-month rent schedule. - A property is considered unleased and vacant when no long term executed lease is in place. The Borrower should provide the cause of vacancy (Letter of Explanation) for refinance and cash-out transactions, such as recently completed renovation, tenant turnover, etc. - Vacancies - 1-4 Units: Vacant unit qualify at 75% of market rent (Maximum 1 vacancy).
Occupancy	- Residential unit(s) not permitted to be owner-occupied. - Commercial unit(s) may be occupied by the borrower's business.
Investor Experience	- Experienced Investor: - An individual borrower having a history of owning and managing commercial or N/O/O residential real estate for at least 1 year in last 3 years. For files with more than one borrower, only one borrower must meet the definition. - First-time investors not eligible
Asset	- Account Statements should cover most recent 120-day period. Large deposits must be sourced. - VOD should be dated within 120 days of loan application date - Stocks/Bond/Mutual Funds 100% of stock accounts can be considered in the calculation of assets for closing and reserves. - Vested Retirement Account funds 60% may be considered for closing and/or reserves. - Non vested or restricted stock accounts are not eligible for use as down payment or reserves. - Assets held in foreign accounts may be used as a source of funds to close and to meet applicable reserve requirements. These funds must be transferred to a US domiciled account in the borrower's name at least 10 days prior to closing.
Min. Borrower Contribution	100% borrower contribution required
Gift Funds	Not Allowed
Reserves	- 6 months of PITIA - Loan Amount > \$1.5M: 9-months of PITIA - Cash out may be used to satisfy requirement
Max. Seller Contribution	3% all LTVs
Cash-Out Seasoning	- Cashout: Not eligible if there has been a prior cashout transaction in the past 6 months - For properties owned 12 months or longer, the LTV/CLV is based upon the appraised value. - If the cash-out seasoning is less than 12 months, but greater than 6 months, the transaction property value is limited to the lower of the current appraised value or the property's purchase price plus documented improvements. - Cash-out seasoning of less than 6 months is not allowed when the prior transaction was also a cash-out. - Cash-out seasoning of six (6) months or less is allowed with the following restrictions: - The source of funds for the purchase transaction are documented (such as bank statements, personal loan documents, or a HELOC on another property). - The maximum LTV/CLTV ratio for the cash-out transaction is based upon the lower of the current appraised value or the property's purchase price plus documented improvements. - Delayed financing - The mortgage being refinanced was used to purchase the property and has an original term of 24 months or less, as evidenced by a copy of the settlement statement and original Note.

General Requirements	
Cash-Out Seasoning	- The borrower acquired the property through an inheritance, or was legally awarded the property through divorce, separation, or dissolution of a domestic partnership.
Listed Properties	- Rate/Term: Cannot be listed for sale on date of loan application - Cash Out: Cannot be listed for sale in prior 6 months from date of loan application unless there is a prepayment penalty
Appraisal	- 5-8 Residential - FHLMC 71A, FHLMC 71B, FNMA 1050 or similar short form used to appraise 5+ residential properties, or - Narrative report can be utilized but not required. - 2-8 Mixed Use - General Purpose Commercial Forms (i.e., GP Commercial Summary Form available from CoreLogic a la mode) - A full interior inspection with photos is required for all units. - The following attachments required for 5-8 Residential and 2-8 Mixed Use appraisal reports: - Rent Roll - Income and Expense Statement - Photos of subject including exterior/interior and street scene - Aerial photo - Sketch or floor plan of typical units - MAP - Plot plan or survey - Appraiser qualifications - Review Product – A commercial BPO or 2nd appraisal required for all loans. - In Pennsylvania and North Carolina, a commercial evaluation product is used instead of a commercial BPO.
Transferred Appraisal	- Allowed - Executed Appraisal Transfer Letter - First generation Appraisal report - Copy of The invoice submitted to The original lender - Proof that The original report was provided to The borrower
Unleased Units	- Maximum: 1 vacant unit on 2-3 Unit property. 2 vacancies on 4+ Units - Vacant unit(s) qualify at 75% of market rent
Property Condition	- No fair or poor ratings - No environmental issues (Storage or use of hazardous material i.e., Dry Cleaners, Laundromat) - No health or safety issues (As noted by appraiser, i.e., broken windows, stairs) - No excessive deferred maintenance that could become a health or safety issue for tenants - No structural deferred maintenance, (i.e., Foundation, roof, electrical, plumbing)
Mixed Use	- Commercial use limited to retail, restaurant or office space. - Residential/Commercial zoning acceptable. - Vacant commercial space not allowed.
Number of Financed Properties	- No limit on number and no max total existing combined UPB properties. - 5 properties with max UPB \$10 mil with ITRUST.
Secondary Financing	- Private-party secondary financing not allowed - Secondary financing must be subordinated and included in CLTV - HELOC CLTV must be calculated at the maximum available line amount unless the borrower can provide documentation showing the line of credit is past its draw period

General Requirements	
Escrow Waiver	Ineligible: Taxes and insurance escrows required for all loans.
Title Vesting & Ownership	- Ownership must be fee simple title. - Title must be in the borrower's name (Owner-occupied property) at the time of application for refinance transactions. - Title vesting in an inter vivos revocable trust is permitted - Must meet FNMA guideline
Chain of Title	24-month title history is required. Transfer date, price, and buyer and Seller names should be provided for any transfers that occurred within the past 24 months.
Power of Attorney	Not allowed for Cash-Out
Prepayment Penalty	- Prepayment periods up to 5-Years eligible, see rate sheet. - Penalties not allowed on loans vested to individuals in NJ. - 3%, 4%, or 5% fixed percentage - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that pay off due to sale or refinance. - Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years. For example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) - The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that pay off due to sale or refinance. - The prepayment penalty can be disclosed within the body of the Note or in a separate rider.
Interest Credit	Loans closed within the first five (5) days of the month may reflect an interest credit to the borrower.
Hazard/Flood Insurance	Must meet FNMA Guidelines
2-8 Mixed Use	Commercial General Liability insurance required per occurrence \$1.0MM, aggregate coverage \$2.0MM